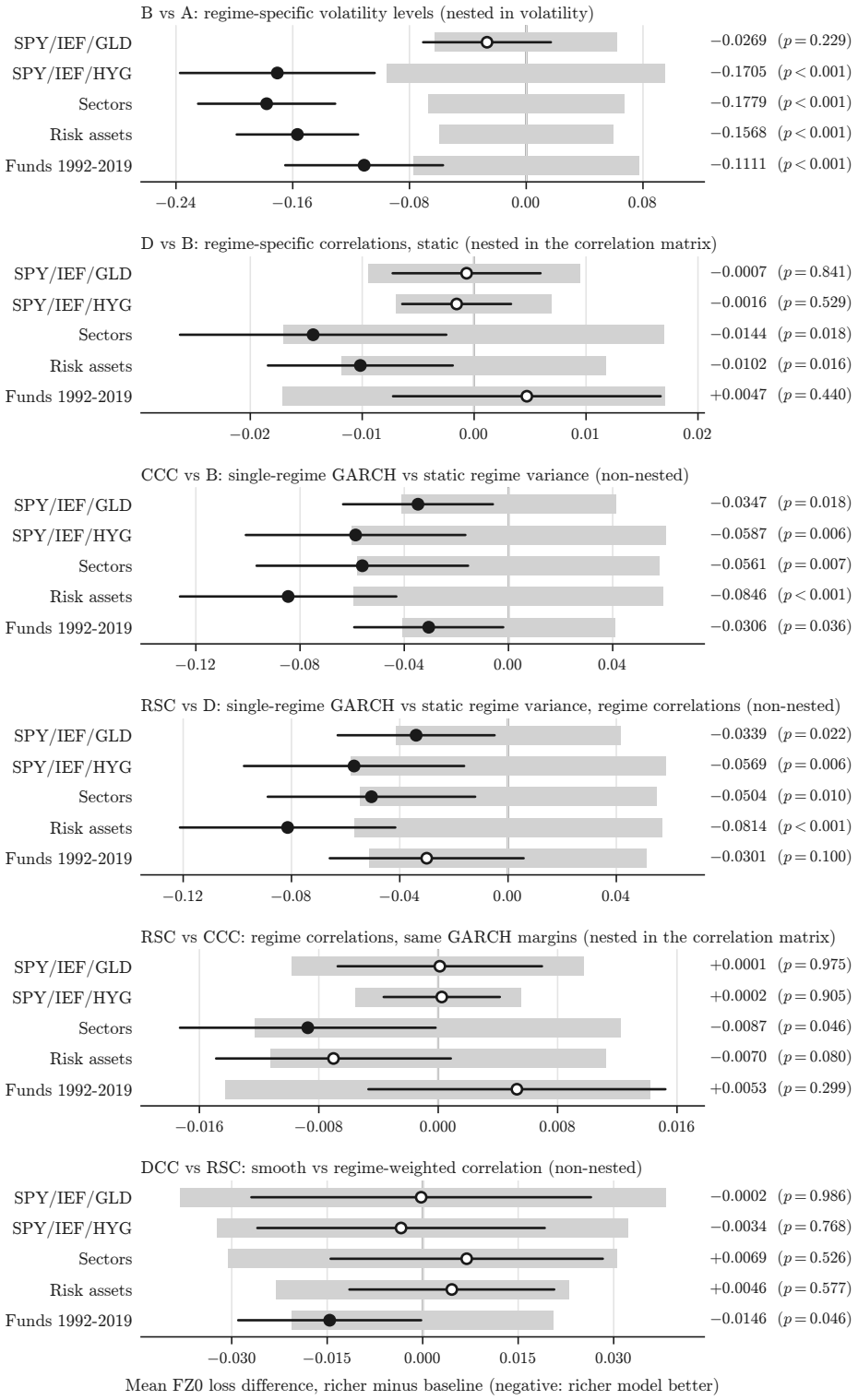
B vs A: regime-specific volatility levels (nested in volatility)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0269 (p = 0.229)
−0.1705 (p < 0.001)
−0.1779 (p < 0.001)
−0.1568 (p < 0.001)
−0.1111 (p < 0.001)
−0.24
−0.16
−0.08
0.00
0.08
D vs B: regime-specific correlations, static (nested in the correlation matrix)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0007 (p = 0.841)
−0.0016 (p = 0.529)
−0.0144 (p = 0.018)
−0.0102 (p = 0.016)
+0.0047 (p = 0.440)
−0.02
−0.01
0.00
0.01
0.02
CCC vs B: single-regime GARCH vs static regime variance (non-nested)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0347 (p = 0.018)
−0.0587 (p = 0.006)
−0.0561 (p = 0.007)
−0.0846 (p < 0.001)
−0.0306 (p = 0.036)
−0.12
−0.08
−0.04
0.00
0.04
RSC vs D: single-regime GARCH vs static regime variance, regime correlations (non-nested)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0339 (p = 0.022)
−0.0569 (p = 0.006)
−0.0504 (p = 0.010)
−0.0814 (p < 0.001)
−0.0301 (p = 0.100)
−0.12
−0.08
−0.04
0.00
0.04
RSC vs CCC: regime correlations, same GARCH margins (nested in the correlation matrix)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
+0.0001 (p = 0.975)
+0.0002 (p = 0.905)
−0.0087 (p = 0.046)
−0.0070 (p = 0.080)
+0.0053 (p = 0.299)
−0.016
−0.008
0.000
0.008
0.016
DCC vs RSC: smooth vs regime-weighted correlation (non-nested)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0002 (p = 0.986)
−0.0034 (p = 0.768)
+0.0069 (p = 0.526)
+0.0046 (p = 0.577)
−0.0146 (p = 0.046)
−0.030
−0.015
0.000
0.015
0.030
Mean FZ0 loss difference, richer minus baseline (negative: richer model better)